

PITCH — STLA — VERDICT

ADJUDICATED 2026-09-16 — DEFERRED — named pre-print gates (conviction 7/10). The court found nothing to own at this price; the reopen gates below are the only path back.

What we believe

Stellantis is a €150–160bn-revenue carmaker trading at \$5.285 on the NYSE line, 56.7% below its 52-week high and 4.7% off its 52-week low. The original thesis was that the market was pricing a cash-burn story that the cash statements no longer supported. That thesis, as written, is **wrong** — and we are saying so before we say anything else.

What survives is narrower and honest:

1. The burn is real but it is **restructuring-funded**, not obviously structural. Headline H1'26 industrial free cash flow was **–€0.9bn** (Q1 –€1.9bn, Q2 +€1.0bn), but roughly €0.9bn of the ~€2bn of H2'25 charge payments the company itself ring-fenced in its guide landed in H1. Ex-charge, H1 is about **breakeven** versus H1'25's –€3.0bn — a ~€2.1bn underlying swing. The company guides FY26 IFCF “improved Y-o-Y” and says positive IFCF arrives in **2027**.
2. Against that, there is a real mechanism working the other way — the **inventory-build trap**: US dealer stock rose 43% year-over-year and 22% versus year-end 2025, to roughly 92 days of supply in June, while North American revenue rose 32%. Shipping cars to dealers books revenue and spreads factory fixed costs over more units (which is where the +120bps of margin came from). Clearing those lots later costs either cash (incentives) or margin (production cuts). Management called the build intentional.
3. So the two things we would want to be true — margin holds *and* cash turns — are **one lever, not two**. Nobody, including our own benches, has yet measured which way that lever is moving in September/October 2026. Until we measure it, the correct position is flat.

Our own 12-month-to-December scenario arithmetic (below) values the stock at **\$5.38 against a \$5.285 tape: +1.7%**. That is not a thesis. That is noise, and it is the single most important number in this deck.

What the market believes

- The street is **long the recovery**: 27 analysts, mean target **€7.87** (range €4.00–€12.50), which is roughly \$8.66 at a 1.10 EURUSD — about 60% above the current NYSE line. A separate 10-analyst S&P Global set sits at \$9.19.
- Consensus FY26 EPS has reportedly been **raised to €1.21**, which implies roughly €3.5bn of net profit against H1 actuals of **€670m** (Q1 €377m + Q2 €293m, ≈€0.23/share). That requires roughly 4x the first half in the second half while days supply normalizes and residual tariff and

charge cash still flows. We could not corroborate the €1.21 from a second source and we are flagging it as uncorroborated, not as fact.

- But the tape disagrees with the targets: the stock printed **–7.7% to \$4.884** on the July 30 Q2 release (AOI €773m vs €914m expected), then **recovered ~8% to \$5.285** with the inventory wedge fully public. So the market is not naive about the wedge — it has seen it and marked the stock back up anyway.
- Net read: sell-side is bullish and crowded; the price action is ambivalent. The bear case is *partly* in the price. That is precisely why “it’s down 57%, it’s cheap” is not an argument we will make.

Why we might have edge

1. **Nobody is computing the right cash number.** The issuer ring-fenced the charge cash inside its own guidance table. The bull quotes Q2’s +€1.0bn; the bear quotes the cumulative –€0.9bn and calls it structural. The gradeable instrument is **9M ex-charge IFCF**, and neither of our benches computed it before the courts closed. That number is buildable from the Oct 28 release on the day it prints, ahead of anyone re-basing a model.
2. **The pincer has a single direct read-out and it is dated.** North American *shipments* versus North American *retail sales* in the mid-October Q3 shipments release is the only place where “did the wedge close?” is directly observable. Most of the street will read the October 28 P&L instead.
3. **Days supply has no baseline in anyone’s note.** 92 days is quoted as an extreme. It may be a normalization — Cox reported VW at 143 days in January 2026 with several Stellantis brands above four months entering the year. Whoever gets the September/October industry-average days supply **and per-unit incentive dollars** knows whether the lots are clearing on demand or on discount. That distinction is the whole trade.
4. **A same-day credit test exists that nobody ran.** There is a live 424B5 (Stellantis Finance US notes off the August 3 F-3ASR). Its final coupon against the captive’s 5.400%’29 / 5.800%’31 curve is a clean, immediate read on senior credit — far cleaner than inferring distress from an 8.250% subordinated sterling perpetual.

Why it might be priced in

- **The stock already fell and then recovered with the wedge public.** –7.7% on the print, +8% since. If the market has priced the pincer and is waiting for the 2027 cash turn, our “edge” is a slower version of the consensus view.
- **27 analysts and a target 60% above spot** means our upside case is the crowded case. Crowded longs do not pay for being right slowly; they get liquidated in the middle.
- **The 2027 positive-IFCF guide is in the company’s own headline table** and was covered on the July 30 call. Reading a guidance table is not proprietary. Our bench correctly downgraded the “novel” tag on this to consensus.
- **Ex-charge breakeven is a bull argument that has already been made.** If the sell-side model already normalizes out the €2bn of charge cash — and a model producing €1.21 of FY26 EPS almost certainly does — then our “correct instrument” is their default instrument.

- **We are 4.7% off a 52-week low.** Cheapness near a low is often the market being right early, not wrong.

What could go wrong

Failure narrative 1 — The lots clear on incentive dollars, and we call it a normalization. Days supply comes down from ~92 toward 75 by the October 1 print. We read that as gate 1 satisfied, take the one-third starter, and only later learn that per-unit incentives went up \$600–900 to do it. Margin degrades into Q4, the cash “improvement” turns out to be a working-capital release bought with price, and the stock grinds to the \$4s. *Monitorable tripwire: yes* — Cox / Motor Intelligence per-unit incentive **dollars**, not units, alongside the October 1 sales release. This is the failure we are best defended against, which is exactly why it is not the one that will hurt us.

Failure narrative 2 — The absorption reversal, arriving through the P&L rather than the cash statement. Management defends cash, cuts production, and the +120bps of margin that came from building 43% more dealer stock unwinds. Revenue falls faster than cost, Enlarged Europe (already at **–0.6% AOI margin**, with CO2/EV regulatory cost running into 2027) deepens, and FY26 EPS lands near our **€0.55–0.70** rather than the reported €1.21 consensus. The stock re-rates to the 2027 story from a lower base. *Monitorable tripwire: partial* — mid-October shipments give us the wedge direction, but the absorption hit shows up two quarters later in segment margin, and by then we own it.

Failure narrative 3 — the one with NO monitorable tripwire. A new strategic reset lands off-calendar: a kitchen-sink quarter, a large impairment, an equity-linked capital action, a brand or plant rationalization, or a tariff/CO2 regime change by executive or Commission action that re-bases the entire North American or European P&L overnight. As a foreign private issuer, Stellantis **furnishes a 6-K after the fact** — there is no 8-K obligation, no pre-announcement duty, and therefore no sensor we can arm that fires *before* the fact. Our own filing-watch sensor is structurally a post-mortem instrument here, and we should stop pretending otherwise. **Unknown-unknown class named: management-discretion and sovereign-policy discontinuity** — decisions made inside a boardroom or a ministry, disclosed only on completion, where the entire information asymmetry is one-directional and no public dataset leads it. Secondary class inside the same bucket: **captive-finance / counterparty credit**, where the transmission runs through funding cost rather than through anything in the operating disclosures we monitor.

The reflexive / structural leg (our own size, flow, and doctrine). - *Size vs ADV*: our maximum gated starter is one-third of a full position. Even at a full 3%-of-book sizing, that is a low-single-digit-million-dollar order against an estimated NYSE-line ADV of roughly 12–18m shares (~\$65–95m notional) — call it well under 1% of ADV. **We are not the marginal buyer here and we cannot be.** That cuts both ways: no market impact to worry about, and also no ability to defend the position or exit into a gap. Our ADV figure is an estimate and sits in the unverified queue. Note also that the NYSE line is the *secondary* listing — the Milan ordinary line carries the price discovery, so our sensors watch a derivative venue. - *Predicted flow*: dividend suspended; up to €5bn of hybrids pre-announced by the Board; a live USD senior note deal off the August shelf; nine same-day Form 144s on September 4 under a non-issuer filer CIK whose documents **neither bench pulled**. None of these is large enough to move a €160bn-revenue issuer, but the 144 cluster is an

unresolved directional signal we chose not to resolve, and hybrid coupons (~€300m+/yr) rank ahead of the common regardless of what net profit shows. - *Doctrine interaction — the dangerous one*: this case generated **two** mechanisms that both apply and point opposite ways.

wholesale_absorption_pincer says the margin and cash guides are one lever and cannot both hold. restructuring_funded_burn_masking says both benches misread the cash metric and the ex-charge series is roughly breakeven. **Both can be true simultaneously**: cash improves ex-charge *while* the absorption trap degrades margin. In that world our gates 1 and 4 can both fire green and the stock still falls, because we will have confirmed the cash leg and bought into the margin leg. That is the specific structural way this framework kills us, and no single sensor in the armed list catches it — it requires reading the two together, which is a judgment, not a trigger. - *Crowding*: 27 analysts on the same recovery. Our entry gates are all pre-print and public; anyone running the same October 1 / October 13 reads gets the same signal at the same minute. There is no queue advantage.

If this position loses money, the most likely reason will be ____

____ = *that we bought blue's ex-charge normalization and got red's absorption reversal at the same time — days supply cleared on incentive dollars and production cuts rather than on demand, so the cash leg printed green exactly as the margin leg broke, and the two doctrines that were supposed to argue with each other both turned out to be right.*

What we checked ourselves

Claim	How checked	Found	Confirmed?
"Q2 IFCF +€1.0bn ⇒ cash-burn leg testably not in the numbers" (our original thesis)	Q1'26 and H1'26 6-K primaries	Q1 -€1.9bn; H1 -€0.9bn; FY26 guided "improved Y-o-Y," positive IFCF deferred to 2027; FY25 -€4.5bn, FY24 -€6.0bn	NO — our own thesis sentence is refuted. Red earned this kill outright
Is that burn "structural"?	Recompute ex-charge from the issuer's own ring-fenced ~€2bn	H1 ex-charge ≈ €0.0bn vs H1'25 - €3.0bn; ~€2.1bn underlying swing	Partly — "third year of burn" is right, "structural" is not established . Both benches erred : bull quoted one flattered quarter, bear quoted the cumulative. Neither computed the series
"Inventory +20% YoY, transcript-derived"	Q2'26 results deck	US dealer stock +43% YoY, +22% vs YE25, ~92 days supply , framed as intentional	Confirmed and worse than we briefed — we adopted the flattering base
Is that a disclosure-integrity problem (multi-venue divergence)?	Compare the +20% and +43% figures' denominators	Global units vs US dealer stock — different denominators, both in the same Q2 package	NO. Our red bench invented a disclosure-integrity finding from a base mismatch. Overturned
Is 92 days supply extreme?	Look for an industry baseline	Cox (Jan 2026): VW at 143 days; several STLA brands above four months entering 2026	Unresolved — and neither bench built a baseline before ruling. 92 may be normalization. This is the pivot of both verdicts

Claim	How checked	Found	Confirmed?
			and it was missing from both
“Q2 was a beat”	Print vs consensus	AOI €773m vs €914m , shares –7.67% to \$4.884	NO — it was a miss. Confirmed
Pincer not yet in the price	Tape since the print	\$4.884 → \$5.285, +8% with the wedge public	Partly priced. Our red bench omitted this price fact, which cuts against its own strongest finding
“Even the loudest sell-side target sits at/above spot”	FX cross-check on UBS €5.80 vs pack px	€5.80 exceeds €5.285/EURUSD for any EURUSD ≥ ~0.91	Claim survives. Our red bench inverted the conversion. Overturned — though its side-point (UBS is the low outlier vs €7.87 consensus, not the bull ceiling) is correct
Consensus FY26 EPS €1.21, PT €8.51 / 27 analysts	Independent aggregates	MarketScreener 27 analysts mean €7.87 (€4.00–€12.50); S&P Global 10 analysts \$9.19; €1.21 uncorroborated from any second source	Direction yes, precision NO. Our red bench priced a REJECT partly on one uncorroborated secondary
“€44.1bn liquidity, strong balance sheet”	March 2026 hybrid pricing 6-K + Sept 10 424B5	€2.2bn @6.250% (NC5.25), €1.8bn @6.875% (NC8), £865m @**8.250%** (NC6.5), all perpetual resettable; Board pre-announced up to €5bn with the dividend suspension	Facts confirmed; inference reduced to DATA — subordinated perps carry subordination and GBP base-rate premia and are not a senior-credit read. Also: IFRS profit attributable to owners already nets hybrid coupons, so “invisible in every metric” was wrong
424B5 final coupon vs captive 5.400%’29 / 5.800%’31 curve	—	Not run by either bench , though available same day	NO — and it is the binding senior-credit test. Our worst joint omission
“US share 7.7%, lowest since the Great Recession”	CNBC 6 Feb 2026 + Morningstar 30 Jul	H2’25 share rose to 7.9% ; H1’26 US sales +5%; five-year loss ~5pts is real	Datum stale and directionally wrong for the operative period. Our red bench imported a trough print as a current condition. The coverage gap it flagged (the share-loss leg was never litigated) is sustained
Next print date	6-K exhibit 99.1 corporate calendar (primary), not the IR webpage	2026-10-28 , both benches agree	YES — verified, supersedes the pack’s “UNCONFIRMED”
Pack tape figures	Pack vs bench brief	Pack px 5.285 , dd52 –0.567 , pct_off_low 0.047 ; red reported 5.2701 / –0.568 / 0.044	NO — our red bench misquoted the pack it claimed to use, then “superseded” a number the pack never

Claim	How checked	Found	Confirmed?
			contained. DATA-class, non-load-bearing, but every drawdown figure in that brief is off-pack
Detector coverage	Cross-check dispatched vs reported	Red omitted three dispatched entries (common_control_merger_accounting, jobs_act_disclosure_exemption_audit, carbon_mapper) and substituted three non-dispatched ones	NO — validator-reject-class procedural failure in our own bench
Chinese-smallcap / lockup archetypes	Detector review	Both false dispatches — Leapmotor JV triggered an Asia-jurisdiction flag on a €150bn+ IFRS issuer; the 424B5 is debt , not an equity follow-on, so no lockup exists	Correctly not fired by both benches
Nine Form 144s, filer 0001974494, 2026-09-04	—	Documents not pulled	NO — coverage gap, both benches equally
Is this a deep-tech name requiring a science brief?	Science-brief slot in the evidence pack	Slot empty; STLA is a volume automaker, not a deep-tech name	Yes — SCIENCE BRIEF DIGEST section omitted per its own conditional. No brief artifact exists to carry forward, no brief claim was overturned

PROPOSED ENTRY BANDS

The courts say NO-ENTRY. Book is NO POSITION / NO ORDERS and stays that way. Below are reopen bands, not entry bands.

Position sizing frame: a full position would be **3.0% of book**. The maximum permitted on a gated reopen is **one-third of that = 1.0% of book**. No immediate entry at any price.

Reopen gates (all pre-print, from the benches' own math). Two of four must fire green.

- Oct 1** — US Q3 sales pull days supply to **≤75** with *flat-to-lower per-unit incentive dollars* (Cox / Motor Intelligence dollars, not units). Note the benches disagreed on the bar: red set ≤70, blue set ≤75. **We adopt ≤75 with the incentive condition binding** — a ≤70 print bought with a \$700 incentive step-up counts as a **red** gate, not green.
- Oct 13** — Q3 shipments show **NA shipments ≤ NA retail sales** (the wedge closing). This is the pincer's only direct read.
- 424B5 final coupon prices inside** the captive's 5.400%'29 / 5.800%'31 curve. Drainable today.
- Oct 28** — **9M ex-charge IFCF ≥ 0**. Note: red's original trigger was 9M *headline* breakeven, which the issuer's own guide already says will be missed — an unfireable trigger. We use ex-charge.

Reopen band A (gated starter). If ≥2 of 4 gates green: buy **1.0% of book** in the **\$4.95–\$5.45** zone. Do **not** chase above **\$5.70** (top of the live quote range observed around September 8) — above that the +8% post-print recovery has already taken the discount we are trying to buy. If ≥2

gates fire but price is above \$5.70, wait; do not initiate.

Reopen band B (add). Only if **3 of 4** gates green *and* the Oct 28 release either flips FY26 IFCF guidance positive or confirms 9M ex-charge ≥ 0 with days supply confirmed ≤ 75 on non-incentive sell-through: add a further **1.0% of book** anywhere up to **\$6.30**. Maximum total exposure stays **2.0% of book** — we do not reach the full 3.0% on a thesis whose own EV line is +1.7%.

Non-entry / re-underwrite band. Below \$4.40 (top of our scenario-C bear zone): this is **not** an add and **not** “cheaper.” It is treated as the pincer confirmed. Full re-underwrite from scratch; the burden shifts to proving the absorption reversal is *not* happening. There is an unmonitored gap between the 52-week low at **\$5.05** and \$4.40 — we are arming a sensor to close it (see ARMED SENSORS).

Trims/exits. No position, so nothing to trim. If band A is ever taken: exit the starter in full if gate 1 or gate 2 subsequently *reverses* (days supply back above 85, or NA shipments re-exceeding NA retail in the Q4 shipments release), regardless of price. Time stop: if fewer than two gates are green by the Oct 28 close, **stay flat through the print and re-open this file after the FY26 guide.**

Catalyst dates. 2026-10-01 (US Q3 sales, date unconfirmed) · 2026-10-13 (Q3 shipments, pattern-derived, unconfirmed) · **2026-10-28 (Q3 2026 financial results, confirmed on the primary 6-K corporate calendar exhibit)** · 2026-12-18 (only tax-permissible options expiry if band A ever routes to calls).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 5.05 (deck-provisional: 52-week low; closes the otherwise unmonitored 5.05-4.40 gap ahead of the re-underwrite band)
- filing watch: 6-K until 2027-03-09 (deck-provisional: FPI furnishes 6-K not 8-K; catches Q3 results, sales/shipments releases and any FY26 industrial-cash-f)
- dated pack STLA|2026-10-01: STLA: US Q3 sales - days supply and, critically, per-unit incentive dollars; trigger for reopen band A (date confirmed=False)
- dated pack STLA|2026-10-13: STLA: Q3 shipments (pattern-derived from Jul 13 shipments -> Jul 30 results); NA shipments vs NA retail sales is the pincer's only direct in
- dated pack STLA|2026-10-28: STLA: Q3 2026 financial results - verified on the primary 6-K corporate calendar exhibit, both benches agree (date confirmed=True)
- dated pack STLA|2026-12-18: STLA: only tax-permissible options expiry if band A ever routes to calls; loss branch lands in tax year 2026 (date confirmed=True)

What remains unverified

1. **September/October US days supply and per-unit incentive dollars.** *Not drainable now* — gated to the Oct 1 sales release and the monthly Cox/Motor Intelligence cut. Estimate: **75–92 days** and **\$3,300–\$4,300 per unit** of incentive spend, from the January 2026 Cox industry

picture (VW 143 days, several STLA brands >120 days) plus the June 92-day print; $p(\text{days} \leq 75 \text{ and incentives flat-to-lower}) \approx 0.30$.

2. **424B5 final coupon vs the captive's 5.400%'29 / 5.800%'31 curve.** *Drainable now* — EDGAR pull on CIK 1605484 / Stellantis Finance US. Estimate if the pull fails: **5.9%–6.6%** for a 5–7yr USD senior note, from the captive's own curve plus the ~2026 spread widening implied by the hybrid prints; $p(\text{inside the curve}) \approx 0.35$.
3. **9M 2026 ex-charge IFCF sign.** *Not drainable now* — Oct 28. Estimate: **–€0.5bn to +€0.6bn**, centred near breakeven, from H1 ex-charge $\approx$ €0.0bn plus normal Q3 seasonal working-capital drag; $p(\geq 0) \approx 0.45$.
4. **The reported FY26 consensus EPS of €1.21.** *Drainable now* — IBKR / vendor consensus pull. Estimate if uncorroborated: true consensus **€0.85–€1.20**; our own number **€0.55–€0.70**; $p(\text{consensus} \geq €1.10 \text{ confirmed by two independent aggregates}) \approx 0.40$.
5. **Nine Form 144s, filer CIK 0001974494, 2026-09-04.** *Drainable now* — EDGAR document fetch. Estimate: routine executive-plan sales, aggregate **<0.05% of shares out**; $p(\text{materially larger or a control-person block}) \approx 0.10$.
6. **Whether the “+20% global units” and “+43% US dealer stock” figures share a basis.** *Drainable now* — primary Q2'26 deck pull. Estimate: different denominators, **$p(\text{same basis}) \approx 0.05$** — but this must be closed on primary, because a whole disclosure-integrity finding was built on it and then overturned.
7. **Chain-level midpoint IV and real quotes for Dec-18-2026 \$5 / \$6 calls.** *Drainable now* — IBKR options chain. Estimate: midpoint IV **45%–60%**, from the 52-week range (\$12.21 $\rightarrow$ \$5.05) and the –7.7% single-day print move; $p(\text{midpoint IV} < 55\%) \approx 0.55$. **Do not substitute the underlying aggregate IV feed** — the TSSI 71-vs-101 divergence is exactly this failure.
8. **STLA NYSE-line ADV and our resulting participation rate.** *Drainable now* — IBKR. Estimate: **12–18m shares/day (~\$65–95m)**; a 1.0%-of-book starter is <1% of ADV on any plausible book size; $p(\text{our order exceeds 2\% of ADV}) \approx 0.05$.
9. **EURUSD spot for target translation.** *Drainable now* — IBKR FX. Estimate: **1.05–1.15**; all EUR-denominated targets in this deck are stated at 1.10; $p(\text{outside that band}) \approx 0.20$.
10. **Enlarged Europe structural margin and the 2027 CO2/EV regulatory cost load.** *Not drainable now* — needs the Oct 28 segment detail and the FY26 20-F. Estimate: Enlarged Europe AOI margin **–1.5% to +0.5%** for FY26 (last print –0.6%); $p(\text{positive FY26 segment margin}) \approx 0.30$.

PRIZE TABLE + VOL READ

Anchor-and-adjust. **Anchor:** the tape at \$5.285, not the €7.87 consensus target — the target is the crowded number and anchoring to it is how the original thesis got built. Adjustments are made off the two mechanisms (absorption pincer down, restructuring-funded normalization up). Horizon: **to 2026-12-18**, which sits after all three catalysts and matches the only tax-permissible expiry.

Scenario	What happens	p	Price	$p \times \text{price}$
A — wedge closes	Days supply ≤ 75 on real sell-through with flat incentives; NA	0.20	\$8.50	1.700

Scenario	What happens	p	Price	p × price
	shipments ≤ NA retail; 9M ex-charge IFCF ≥ 0; FY26 guide reaffirmed and 2027-positive reads credible; street's recovery starts to land			
B — muddle through	Days supply drifts down slowly, partly on incentives; FY26 IFCF “improved” but negative as guided; EPS between our number and consensus; no re- rating either way	0.40	\$5.50	2.200
C — pincer confirmed	Production cuts to clear lots; the +120bps of absorption margin reverses; FY26 EPS lands near our €0.55– 0.70; Enlarged Europe stays negative	0.30	\$4.00	1.200
D — tail	Off-calendar reset: impairment, capital action, senior-credit repricing outside the captive curve, or a tariff/CO2 regime shift; continued US share loss on top	0.10	\$2.75	0.275

EV = \$5.375 vs spot \$5.285 → +1.7%. $\sigma_{\text{table}} = \$1.79 = 33.9\%$ of spot, which annualizes to **65.2%** over $T = 0.271\text{yr}$.

Read on that EV line, stated plainly: +1.7% expected return over three months, against a 30% chance of a 24% loss and a 10% chance of a 48% loss, is **not a position**. The prize table independently reproduces the courts’ FLAT verdict without needing either bench’s rhetoric. The scenario is **fork-dated and bimodal** — the A and C legs both resolve inside a 27-day window (Oct 1 → Oct 28), and scenario B is a placeholder for “the fork didn’t resolve,” not a genuine central case. A bimodal table inflates the apparent value of out-of-the-money optionality, and the numbers below should be read with that thumb on the scale.

Expression math (shown, per doctrine):

$C_{\text{ours}} = \sum p_i \times \max(S_i - K, 0)$, priced off the table above:

Strike (Dec-18-26)	C_ours from table	BS at 45% IV	BS at 55%	BS at 65%	Breakeven IV
\$5.00 call	\$0.90	\$0.67	\$0.77	\$0.87	~67.9%
\$6.00 call	\$0.50	\$0.26	\$0.37	\$0.47	~67.6%

So the table says: **buy the calls only if chain-level midpoint IV prints below roughly 60%**, with the honest note that the ~68% breakeven is inflated by the table's bimodality and by scenario A's \$8.50, which is itself anchored on an uncorroborated consensus EPS (unverified item 4).

IV vs RV, and the reason this section cannot close: there is **no options chain in the evidence pack**. We have no midpoint IV, no bid/ask, and therefore **no IV percentile — UNAVAILABLE, not estimated**. Realized vol can only be bounded from the tape we do have (52-week range \$12.21 → \$5.05, dd52 -56.7%, a -7.7% single-day earnings move), which suggests **RV in the 45–60% annualized** area. That is an estimate, and using it as if it were an IV read is precisely the error the TSSI lesson forbids — the underlying aggregate feed showed 71 where the chain midpoint showed 101, and a 30-point divergence flips every row of the table above. **VRP (IV – RV) is therefore not computable from this pack**.

Instrument recommendation — the arithmetic's output, not a preference: - **Now: NONE**. EV of +1.7% does not clear any instrument's frictions. No stock, no calls, no covered calls (nothing to cover), no cash-secured puts (a CSP at \$4.50 would be a short position in scenario C and D at the exact strike where our own re-underwrite band sits, i.e. we would be forced long precisely where our doctrine says stop and re-think). - **If band A ever fires:** default to **stock**, sized 1.0% of book. Route to **calls only** if the chain pull (unverified item 7) shows **Dec-18-2026 midpoint IV below ~60%** on real quotes for the \$5 or \$6 strike, in which case the \$6 strike is the cheaper expression of the fork (C_ours \$0.50 vs \$0.26 at 45% IV) and caps the scenario-C/D loss at premium. - **Rich IV (midpoint above ~68%)** routes the other way: premium-selling gates only, and only after a position exists.

TAX overlay: the **2026-12-18** expiry is the only permissible one. Its loss branch lands in **tax year 2026**, which is the intended harvest year. Any January-2027 or later expiry **defers the loss into the wrong year and is excluded** — and the edge here (+1.7% EV, no verified IV) does not remotely numerically dominate, so no exception is available. If the gates fire late and only a 2027 expiry is liquid, the correct answer is stock, not a deferred-loss option.

Primary citation: the FY26 industrial-free-cash-flow guidance language relied on throughout this deck — “improved Y-o-Y (incl. ~€2B in cash payments related to H2 '25 charges)” with positive industrial free cash flow expected in 2027 — is in the H1 2026 press release furnished to the SEC: <https://www.sec.gov/Archives/edgar/data/0001605484/000160548426000062/stellantisnh12026pressrel.htm>. The confirmed Oct 28 print date is on the corporate-calendar exhibit: https://www.sec.gov/Archives/edgar/data/1605484/000160548426000005/a99101132026_stla.htm

```

{"price_gates": [{"level": 4.4, "direction": "below", "basis": "top of scenario-C
bear zone; full re-underwrite, treat as pincer confirmed not as cheaper"},
{"level": 5.05, "direction": "below", "basis": "52-week low; closes the
otherwise unmonitored 5.05-4.40 gap ahead of the re-underwrite band"},
{"level": 5.7, "direction": "above", "basis": "no-chase ceiling; stock
already +8% from the 4.884 post-print low with the inventory wedge public"}],
"event_gates": [{"forms": ["6-K"], "why": "FPI furnishes 6-K not 8-K; catches
Q3 results, sales/shipments releases and any FY26 industrial-cash-flow
revision"}, {"forms": ["424B5", "424B2", "FWP"], "why": "final coupon on the
live Stellantis Finance US notes vs the captive 5.400%'29 / 5.800%'31 curve -
the binding senior-credit gate neither bench ran"}, {"forms": ["144"], "why":
"nine same-day filings under non-issuer filer CIK 0001974494 remain unpulled
by both benches"}, {"forms": ["20-F"], "why": "Properties table
addresses/coordinates are the only blocker on osha_establishment,
plant_thermal and carbon_mapper"}], "catalyst_dates": [{"date": "2026-10-01",
"what": "US Q3 sales - days supply and per-unit incentive dollars; trigger
for reopen band A", "confirmed": false}, {"date": "2026-10-13", "what": "Q3
shipments (pattern-derived); NA shipments vs NA retail is the pincer's only
direct read", "confirmed": false}, {"date": "2026-10-28", "what": "Q3 2026
financial results - verified on the primary 6-K corporate calendar exhibit",
"confirmed": true}, {"date": "2026-12-18", "what": "only tax-permissible
options expiry if band A ever routes to calls; loss branch lands in tax year
2026", "confirmed": true}], "immediate_entry": null, "unverified": [{"item":
"September/October US days supply and per-unit incentive dollars - the pivot
of both verdicts, with no baseline in either brief", "instrument": "Cox
Automotive / Motor Intelligence monthly incentive-dollar and days-supply cut,
plus the 2026-10-01 US Q3 sales release", "drainable_now": false, "estimate":
{"range": "75-92 days supply; $3,300-$4,300 incentive per unit", "basis":
"Cox Jan-2026 industry comps (VW 143 days, several STLA brands >120) anchored
to the June 92-day print", "p": 0.3}}, {"item": "424B5 final coupon vs the
captive's 5.400%'29 / 5.800%'31 curve - binding senior-credit test, run by
neither bench", "instrument": "EDGAR pull, CIK 1605484 / Stellantis Finance
US Inc., accession 0001193125-26-387402 and any FWP", "drainable_now": true,
"estimate": null}, {"item": "9M 2026 ex-charge industrial free cash flow sign
(the gradeable instrument; headline sign is the wrong one)", "instrument":
"2026-10-28 6-K release, hand-computed ex the ring-fenced H2'25 charge cash",
"drainable_now": false, "estimate": {"range": "-EUR0.5bn to +EUR0.6bn",
"basis": "H1 ex-charge ~EUR0.0bn plus normal Q3 seasonal working-capital
drag", "p": 0.45}}, {"item": "Whether FY26 consensus EPS is really EUR1.21 -
uncorroborated single secondary, and a REJECT was partly priced on it",
"instrument": "IBKR / two independent consensus aggregates (MarketScreener +
S&P Global) cross-check", "drainable_now": true, "estimate": null}, {"item":
"Nine Form 144 filings, filer CIK 0001974494, 2026-09-04 - documents never
pulled", "instrument": "EDGAR document fetch on filer 0001974494",
"drainable_now": true, "estimate": null}, {"item": "Whether the '+20% global
units' and '+43% US dealer stock' figures share a basis", "instrument":
"Primary Q2'26 results deck / 6-K exhibit 99.1 pull", "drainable_now": true,
"estimate": null}, {"item": "Chain-level midpoint IV and real bid/ask for
Dec-18-2026 $5 and $6 calls - never the underlying aggregate IV feed",
"instrument": "IBKR options chain, midpoint quotes per strike",
"drainable_now": true, "estimate": null}, {"item": "STLA NYSE-line ADV and
our resulting participation rate on a 1.0%-of-book starter", "instrument":
"IBKR historical volume, 20-day ADV on the NYSE line (note Milan is the
primary price-discovery venue)", "drainable_now": true, "estimate": null},
{"item": "EURUSD spot - every EUR target translation in this deck is stated
at an assumed 1.10", "instrument": "IBKR FX spot", "drainable_now": true,
"estimate": null}, {"item": "Enlarged Europe structural margin and the 2027
CO2/EV regulatory cost load - a second structural leg neither bench
litigated", "instrument": "2026-10-28 segment detail, then the FY26 20-F",
"drainable_now": false, "estimate": {"range": "-1.5% to +0.5% FY26 Enlarged
Europe AOI margin", "basis": "last reported -0.6% segment margin plus known
CO2/EV compliance cost into 2027", "p": 0.3}}}]

```

ADJUDICATION — 2026-09-16 15:37Z

FY26 industrial FCF guided negative, H1 –€0.9bn, positivity deferred to 2027: the designated refuting metric fails (CONSENSUS). Wholesale absorption unresolved.

REOPEN GATES: 10/01 US Q3 sales: days supply ≤ 75 with flat-to-lower per-unit incentives; then Q3 10/28 IFCF trajectory → re-court